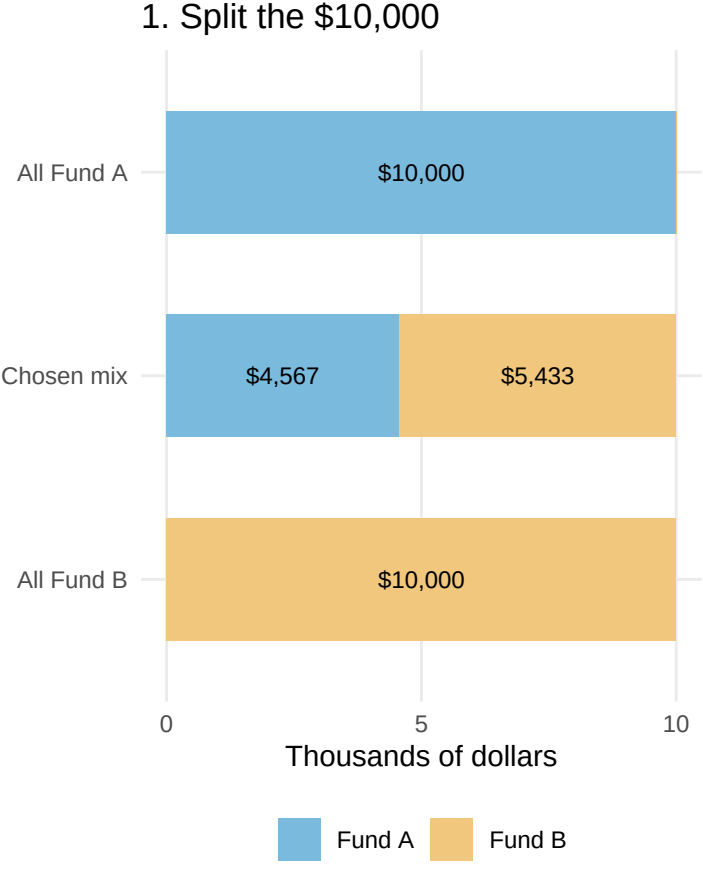
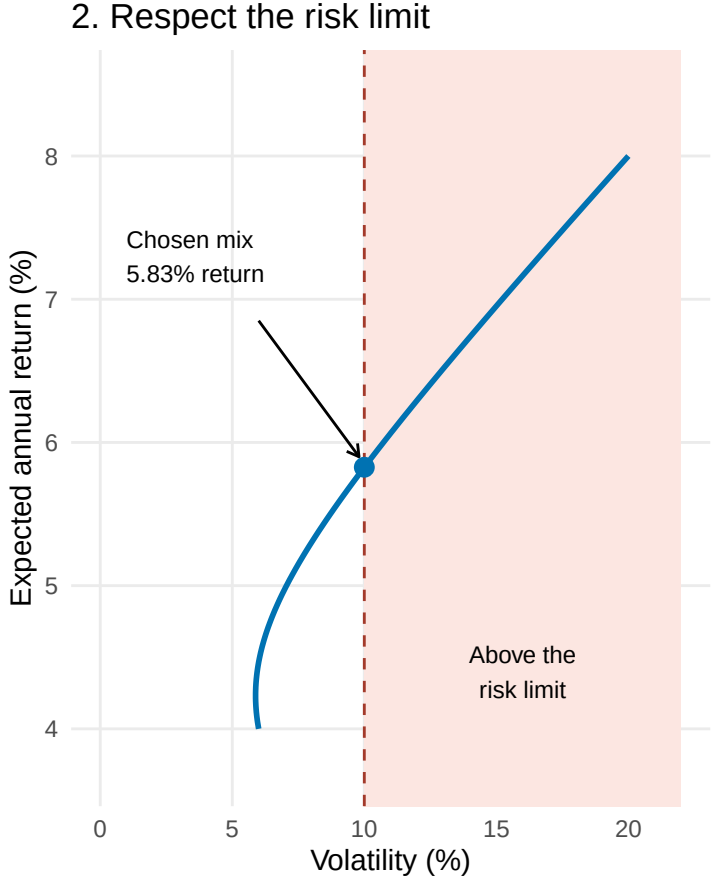

1. Split the $10,000
All Fund A
$10,000
Chosen mix
$4,567
$5,433
All Fund B
$10,000
0
5
10
Thousands of dollars
Fund A
Fund B


2. Respect the risk limit
Chosen mix
5.83% return
Above the
risk limit
Expected annual return (%)
8
7
6
5
4
0
5
10
15
20
Volatility (%)